

Amendment No. 16

Assembly Amendment to Assembly Bill No. 5 First Reprint (BDR S-13)

Proposed by: Speaker of the Assembly

Amends: Summary: No Title: No Preamble: No Joint Sponsorship: No Digest: No

ASSEMBLY ACTION			Initial and Date	SENATE ACTION			Initial and Date		
Adopted	☐	Lost	☐	_____	Adopted	☐	Lost	☐	_____
Concurred In	☐	Not	☐	_____	Concurred In	☐	Not	☐	_____
Receded	☐	Not	☐	_____	Receded	☐	Not	☐	_____

EXPLANATION: Matter in (1) *blue bold italics* is new language in the original bill; (2) variations of green bold underlining is newly added language; (3) ~~red strikethrough~~ is deleted language in the original bill; (4) ~~purple double strikethrough~~ is language proposed to be deleted in this amendment; (5) ~~fuchsia double strikethrough~~ is new language in the bill proposed to be deleted in this amendment; (6) orange double underlining is deleted language in the original bill that is proposed to be retained in this amendment.

SHORT FORM AMENDMENT

Section 10 of this act is the only section affected by this amendment.

BJF



Date: 11/16/2025

A.B. No. 5—Enacts the Nevada Studio Infrastructure Jobs and Workforce Training Act. (BDR S-13)



Section 10 of Assembly Bill No. 5 First Reprint is hereby amended as follows:

1 **Sec. 10.** 1. Not later than 120 days after the effective date of this act, the
2 Office shall enter into a development agreement with the lead participant of the
3 Summerlin Production Studios Project, unless the Office agrees to extend this
4 period by not more than 60 days. The development agreement entered into pursuant
5 to this section:

6 (a) Must require the Project to:

7 (1) Except as otherwise provided in subsections 2 and 3, not later than:

8 (I) December 31, 2028, make a new capital investment in this State,
9 excluding any hotel and any business required to hold a license issued pursuant to
10 chapter 463 of NRS, of at least \$400,000,000.

11 (II) June 30, 2030, make an aggregate new capital investment in this
12 State, of at least \$900,000,000. For the purposes of determining the amount of new
13 capital investment pursuant to this sub-subparagraph, any new capital investment
14 by a third party who purchases property or enters into a ground lease for property
15 within the site of the Project must be credited toward meeting the requirement of
16 this sub-subparagraph. The Office shall credit toward meeting the requirement of
17 this sub-subparagraph 50 percent of the new capital investment made at the
18 Downtown Summerlin site during the period beginning on the date of the execution
19 of the development agreement and ending on June 30, 2030, if the Board of
20 Economic Development determines that the new capital investment is consistent
21 with the State Plan for Economic Development developed by the Executive
22 Director of the Office of Economic Development pursuant to subsection 2 of NRS
23 231.053 and the intent of the Legislature as expressed in sections 2 and 3 of this act.

24 (III) June 30, 2033, make an aggregate new capital investment in this
25 State of at least \$1,400,000,000. For the purposes of determining the amount of
26 new capital investment pursuant to this sub-subparagraph, any new capital
27 investment by a third party who purchases property or enters into a ground lease for
28 property within the site of the Project must be credited toward meeting the
29 requirement of this sub-subparagraph. The Office shall credit toward meeting the
30 requirement of this sub-subparagraph 50 percent of the new capital investment
31 made at the Downtown Summerlin site during the period beginning on the date of
32 the execution of the development agreement and ending on June 30, 2033, if the
33 Board of Economic Development determines that the new capital investment is
34 consistent with the State Plan for Economic Development developed by the
35 Executive Director of the Office of Economic Development pursuant to subsection
36 2 of NRS 231.053 and the intent of the Legislature as expressed in sections 2 and 3
37 of this act.

38 (IV) June 30, 2039, make an aggregate new capital investment in this
39 State of at least \$1,800,000,000. For the purposes of determining the amount of
40 new capital investment pursuant to this sub-subparagraph, any new capital
41 investment by a third party who purchases property or enters into a ground lease for
42 property within the site of the Project must be credited toward meeting the
43 requirement of this sub-subparagraph. The Office shall credit toward meeting the
44 requirement of this sub-subparagraph 50 percent of the new capital investment
45 made at the Downtown Summerlin site during the period beginning on the date of
46 the execution of the development agreement and ending on June 30, 2039, if the
47 Board of Economic Development determines that the new capital investment is
48 consistent with the State Plan for Economic Development developed by the
49 Executive Director of the Office of Economic Development pursuant to subsection

2 of NRS 231.053 and the finding and intent of the Legislature as expressed in sections 2 and 3 of this act.

(2) Not later than December 31, 2028, contribute at least \$8,000,000 to Nevada Partners, Inc. to support the construction and operation of the Nevada Partners Vocational Training Studio and to the maximum extent practicable, collaborate with Nevada Partners, Inc. to ensure that not later than December 31, 2030, construction of the Nevada Partners Vocational Training Studio has been completed and the Nevada Partners Vocational Training Studio is operational.

(3) If the Nevada Partners Vocational Training Studio is not completed and operational before January 1, 2031, ensure that an equivalent facility is constructed and operational before that date.

(4) Except as otherwise provided in subparagraph (5) and subsection 6, guarantee that for the period beginning on:

(I) July 1, 2029, and ending on June 30, 2035, the Project will generate, for each period consisting of 2 fiscal years during that time, not less than \$600,000,000 of direct production expenditures.

(II) July 1, 2035, and ending on June 30, 2044, the Project will generate, for each period consisting of 3 fiscal years during that time, not less than \$900,000,000 of direct production expenditures.

(5) Except as otherwise provided in this subparagraph, require that if, during any period described in subparagraph (4), the amount of direct production expenditures exceeds the amount required by subparagraph (4) for that period, the excess amount must be carried forward and used to offset any shortage in satisfying any requirement set forth in subparagraph (4) in any subsequent period. The total amount of excess direct production expenditures for a period described in subparagraph (4) that may be used to offset a shortfall in the amount of direct production expenditures required for any subsequent period described in subparagraph (4) cannot exceed \$200,000,000.

(6) Not later than 5 years after the Office and the lead participant execute the development agreement, make a contribution of at least \$6,000,000 for the construction, in conjunction with Chicanos Por La Causa, of a center to be located on the east side of the City of Las Vegas, as determined by agreement of the Office and the lead participant, to support education and workforce training related to the production of qualified productions that are film or television productions and for child care for participants in such education and workforce training programs.

(7) If the center described in subparagraph (6) is not completed and operational before January 1, 2031, ensure that an equivalent facility is constructed and operational before that date.

(8) Prohibit ~~the location within the site of the Project of a business required to hold a license~~ any establishment operating any gaming or gambling, gaming device, sports pool, race book or any game or gambling game as those terms are defined and licensed pursuant to chapter 463 of NRS ~~4~~ for any portion of the Project during the term of the development agreement, except for any facilities, buildings or structures that house a business that:

(I) Manufactures, distributes or sells gaming devices, games or associated equipment as defined or described pursuant to chapter 463 of NRS or the regulations adopted by the Nevada Gaming Commission; or

(II) Provides cloud computing services, information technology or acts as a service provider or hosting center as defined or described in chapter 463 of NRS or the regulations adopted by the Nevada Gaming Commission.

(9) Provide written notice to the Office within 30 days after the applicable deadline for completing a requirement set forth in subparagraphs (1) to (7), inclusive, which must state whether the requirement has been met. Upon receipt of

1 the written notice, the Office shall make a final determination, in writing, of
2 whether the requirement has been met and provide that determination to the lead
3 participant of the Project. If the Office determines that the requirement has been
4 met, the Office shall establish the date on which the requirement was met.

5 (b) Must establish the minimum amount of square feet of building space at the
6 Project to be used for the various components of the production of qualified
7 productions.

8 (c) Must establish the minimum number of acres of real property that will be a
9 part of the Project.

10 (d) May include such other provisions, not inconsistent with law, concerning
11 the development of the Project and the issuance of film infrastructure transferable
12 tax credits pursuant to sections 4 to 20, inclusive, of this act, as agreed to by the
13 Office and the lead participant.

14 2. As the Executive Director of the Office deems necessary or advisable, the
15 Executive Director may modify any requirement for new capital investment set
16 forth in subparagraph (1) of paragraph (a) of subsection 1 by extending the date by
17 which any new capital investment set forth in those provisions must be made.

18 3. If the Office determines that the Project has not met a requirement for
19 capital investment included in the development agreement pursuant to
20 subparagraph (1) of paragraph (a) of subsection 1, the Office must document its
21 determination in writing, notify the lead participant, in writing, of its determination
22 and impose a penalty on the Project in an amount not to exceed the amount of the
23 deficiency. The Project may cure the deficiency by making the required capital
24 investment in the element of the Project for which the requirement for capital
25 investment was not met not later than 2 years after the end of the period for which
26 the requirement for capital investment was not met, in an amount necessary to
27 satisfy the requirement for capital investment in an element of the Project that was
28 not met. If the deficiency is:

29 (a) Cured within the cure period, 100 percent of the amount of the penalty must
30 be discharged.

31 (b) Not cured within that cure period, the Office must record a lien on any land
32 within the Project that is undeveloped or has not been developed in accordance with
33 the findings and intent of the Legislature as expressed in sections 2 and 3 of this
34 act, to secure payment of such penalty, subject to the limitations set forth in
35 subsection 4. Any penalty, and the lien securing the payment of such penalty, must
36 be discharged as follows:

37 (1) If the requirement for capital investment which was not met is satisfied
38 not later than 1 year after the expiration of the cure period, 90 percent of the
39 amount of the penalty, and the lien securing the payment of the penalty, must be
40 discharged.

41 (2) If the requirement for capital investment which was not met is satisfied
42 more than 1 year, but not later than 2 years, after the expiration of the cure period,
43 70 percent of the amount of the penalty, and the lien securing the payment of the
44 penalty, must be discharged.

45 (3) If the requirement for capital investment which was not met is satisfied
46 more than 2 years, but not later than 3 years, after the expiration of the cure period,
47 50 percent of the amount of the penalty, and the lien securing the payment of the
48 penalty, must be discharged.

49 (4) If the requirement for capital investment which was not met is satisfied
50 more than 3 years, but not later than 4 years, after the expiration of the cure period,
51 30 percent of the amount of the penalty, and the lien securing the payment of the
52 penalty, must be discharged.

(5) If the requirement for capital investment which was not met is satisfied more than 4 years, but not later than 5 years, after the expiration of the cure period, 10 percent of the amount of the penalty, and the lien securing the payment of the penalty, must be discharged.

4. Only one lien may be recorded pursuant to subsection 3 and such a lien:

(a) Must not, at any time, exceed the lesser of the amount of the deficiency or 100 percent of the appraised value of the remaining land within the Project that is undeveloped or has not been developed in accordance with the findings and intent of the Legislature as expressed in sections 2 and 3 of this act.

(b) May not be recorded on any completed portion of the Project.

(c) May be modified, replaced or reissued to secure payment of the most current amount of any penalty imposed pursuant to subsection 3 but any such lien is subject to the limitations of this subsection.

5. If the Office determines that the amount of direct production expenditures is less than \$150,000,000 in any fiscal year commencing on or after July 1, 2029, and before July 1, 2044, the Office must notify the Project, in writing, of its determination and impose a penalty on the Project in an amount equal to the lesser of \$10,000,000 or the amount determined by:

(a) Calculating 50 percent of the sum of the film infrastructure transferable tax credits authorized for approval pursuant to section 15 of this act for that fiscal year and the immediately preceding fiscal year;

(b) Calculating a percentage by dividing the difference between the \$150,000,000 and the actual amount, as determined by the Office, of direct production expenditures, by \$150,000,000; and

(c) Multiplying the percentage calculated pursuant to paragraph (b) by the amount calculated pursuant to paragraph (a).

Any penalty paid pursuant to this subsection must be applied to reduce the amount of any penalty imposed pursuant to subsection 6.

6. If the Office determines that the Project has not met a requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, the Project must pay to the Office a penalty in an amount determined as follows:

(a) If the actual amount of direct production expenditures is more than 2 percent and not more than 5 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$2,000,000.

(b) If the actual amount of direct production expenditures is more than 5 percent and not more than 10 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$5,000,000.

(c) If the actual amount of direct production expenditures is more than 10 percent and not more than 20 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$10,000,000.

(d) If the actual amount of direct production expenditures is more than 20 percent and not more than 30 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$20,000,000.

(e) If the actual amount of direct production expenditures is more than 30 percent and not more than 40 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$30,000,000.

(f) If the actual amount of direct production expenditures is more than 40 percent and not more than 50 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$40,000,000.

(g) If the actual amount of direct production expenditures is more than 50 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$50,000,000.

7. The Office may reduce, or waive, any penalty imposed pursuant to subsections 3 to 6, inclusive, if, upon written request of the lead participant, the Office determines that the failure to meet a requirement for which a penalty may be imposed was caused by extraordinary circumstances beyond the control of the Project and reasonable, documented and good-faith efforts were made to satisfy the requirement. For the purposes of this subsection, "extraordinary circumstances":

(a) Means natural disasters, labor strikes, significant disruptions in material supply chains, substantial economic or geopolitical shocks, government-mandated closures, delays in obtaining any approval of a governmental entity needed for the Project that are not caused by the Project or other events in the nature of force majeure that materially impair the ability to carry out development and construction activities.

(b) Does not include ordinary market fluctuations, internal project scheduling decisions or changes in business strategy.

8. Before taking any action or declining any request for an action authorized by subsection 7, the Executive Director of the Office shall:

(a) Consider any documentation submitted by the production company related to the action under consideration; and

(b) Make the following determinations in writing:

(1) That good cause exists to take such action; and

(2) That the action is reasonable based on the circumstances of the underlying incident on which the reduction or withholding of film infrastructure transferable tax credits authorized pursuant to subsection 4 is based.

9. Any penalty paid to the Office pursuant to subsections 3 to 6, inclusive, must be deposited with the State Treasurer for credit to the State General Fund.

10. The Office shall not approve any abatement, partial abatement or exemption from taxes, or any other incentive for economic development, other than film infrastructure transferable tax credits pursuant to sections 4 to 20, inclusive, of this act or noninfrastructure transferable tax credits pursuant to NRS 360.758 to 360.7598, inclusive, for the Summerlin Production Studios Project if the Project has entered into a development agreement with the Office pursuant to this section.

11. As used in this section:

(a) "Direct production expenditures" means expenditures in this State:

(1) By a production company that is affiliated with the lead participant and is producing, in whole or in part, a qualified production at the Project;

(2) That are direct expenditures on a qualified production that is produced, in whole or in part, at the Project; and

(3) That meet the criteria to be a qualified direct production expenditure pursuant to subsection 1 of section 12 of this act, regardless of whether the

1 production company applies for or receives film transferable tax credits for the
2 qualified production.

3 (b) "Hotel" means a building occupied or intended to be occupied for
4 compensation, as the temporary residence for transient guests, primarily persons
5 who have residence elsewhere. A hotel has an interior hall and lobby with access to
6 each room from the interior hall or lobby.